

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MSRF, INC., *Complainant*

v.

YANG MING TRANSPORT CO., *Respondent*.

DOCKET NO. 22-21

Served: January 10, 2022

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

ORDER ON MOTION FOR RECONSIDERATION

On December 7, 2022, Complainant filed a conditional consent motion to amend the scheduling order that issued on October 13, 2022 (“Conditional Consent Motion to Amend”). On December 8, 2022, the undersigned denied the motion and set December 21, 2022 as the date by which objections and responses to initial discovery requests were due and to start notice of depositions. On December 13, 2022, Respondent filed a Motion for Reconsideration (“Motion for Reconsideration”). On December 23, 2022, Respondent filed an Unopposed Motion for Leave to Update Respondent’s Motion for Reconsideration (“Updated Motion for Reconsideration”). Finally, on January 4, 2023, Respondent filed a Status Report (“Status Report”).

Respondent’s Motion for Reconsideration asserts that Respondent was denied its right to reply to Complainant’s Conditional Consent Motion to Amend, and that “adjustment of the schedule is necessary to prevent the extension granted to Complainant from inflicting fundamental unfairness on Respondent...[due to] Complainant’s belated service of discovery responses.” Respondent notes that reconsideration of the December 8, 2022, order is appropriate, citing, *Tractors and Farm Equipment, Ltd v. Waterman Steamship Corp.*, 25 F.M.C. 375, 377 n. 9 (FMC 1982) (“A presiding officer may properly reconsider and reverse interlocutory rulings made prior to the initial decision...”); and *Carolina Marine Handling, Linc. v. South Carolina State Ports Authority*, 2002 FMC Lexis 13 at *2 (ALJ 2002) (reconsideration is proper when the decision was based on a misconception of the facts). Reconsideration is appropriate as the Respondent was not allowed the opportunity to respond to the Complainant’s Conditional Consent Motion to Amend.

A “conditional consent motion” is not defined in the Federal Maritime Commission rules or by the Federal Rules of Civil Procedure. In its motion, Complainant indicated it had obtained Respondent’s consent to move for an amendment of all dates in the Scheduling Order, but that Respondent’s consent was conditioned on *all* the scheduling amendments being granted (emphasis added). Conditional Consent Motion to Amend at 2. The motion was denied for lack of good cause to amend every date in the Scheduling Order, and Complainant was ordered to file

its responses to initial discovery requests by December 21, 2022.¹ Respondent submits that its reasons for conditionally consenting to Complainant's motion to amend were not adequately set forth by Complainant so were not duly considered by the undersigned. Respondent cites to §502.261, arguing that substantive error in material fact necessitates reconsideration. In this regard, Respondent reiterates that its consent was conditioned on all the proposed new dates being granted, and that it intended to submit a response to the conditional consent motion "filling in missing pieces." Respondent noted that it had complied with the November 14, 2022, deadline for providing responses and objections and had also provided additional confidential documents on November 22, 2022, the day Complainant agreed to a confidentiality stipulation. Motion for Reconsideration at 2, 5.

The Order Denying Conditional Consent Motion to Amend Scheduling Order acknowledged that Respondent's consent was conditional: "Complainant states in its Motion that Respondent consents to the extension of time for responding to discovery on the condition that the other changes to the Scheduling Order are also granted." Order Denying at 1. While the Order Denying Conditional Consent Motion to Amend Scheduling Order states that it was unclear from the Conditional Consent Motion whether Respondent had served its objections and responses to the initial discovery requests and started to schedule depositions, whether Respondent had done so was not the basis for the decision to deny the motion. Respondent's clarification that it had abided by the original Scheduling Order due date does not change or address the basis for the denial--no good cause was provided to extend *all* dates in the Scheduling Order. Respondent's explanation of why the parties propose amending all dates in the scheduling order expounds on the reasons cited by Complainant and points out the inequities to Respondent of the current schedule, but it does not address how the deadline of issuing the initial decision by August 19, 2023, can be met.

Respondent asserts that if the supplemental discovery requests deadline is moved based on their proposal from January 10, 2023, to February 15, 2023, then they must be given time to respond noting, "[t]he proposed schedule uses the time of 30 days set by the FMC Rules. 46 CFR 502.145(b)(2). Based on a deadline for supplemental requests of February 15, 2023, that comes out to 29 days (March 16) with discovery to end the very next day (i.e., March 17)." Motion for Reconsideration at 8 (footnotes omitted). Thirty days is not required by the rule cited; §502.145(b)(2) allows that "[a] shorter or longer time may be stipulated to...or be ordered by the presiding officer." Some dates in the schedule could be shortened or revised to achieve an amended schedule that is more equitable yet allows for the initial decision to issue within a year of the Notice of Filing. The parties have not proposed an amended schedule that allows for the initial decision to issue by August 19, 2023, but there are dates which could be revised within a time frame which allows the proceeding to be completed within the year allotted.

Turning to the Updated Motion for Reconsideration, Respondent specifies that Complainant does not oppose the motion, "but intends to file an explanatory response." No such response has been received from Complainant as of today's date and the time to respond has

¹ As noted in the Order Denying Conditional Consent Motion to Amend, Complainant's motion was filed well after the due date for responses to initial discovery requests. Because the due date had passed, and because Complainant asserted that the parties agreed that experts were not necessary in this proceeding, it was ordered that Complainant respond to initial discovery requests by December 21, 2023, the date that had been set for Complainant to serve its initial expert reports. Order Denying Condition Consent Motion to Amend at 2.

expired. Respondent asserts that the Complainant did not produce any documents in response to the initial requests for production of documents by the December 21, 2022 deadline; Complainant has refused to produce (unspecified) documents that Respondent believes are required by the agency's discovery rules; and, Complainant's responses to interrogatories and requests for admission were deficient. Respondent raises these issues in its Updated Motion for Reconsideration to illustrate that discovery will not be completed within the time allotted in the Scheduling Order. Leave to update Respondent's Motion for Reconsideration is granted and the arguments therein were considered.

The Motion for Reconsideration, the Updated Motion for Reconsideration, and Respondent's Status Report contend that Complainant is not meeting the deadlines of the schedule that the parties proposed in their initial joint status report and proposed scheduling order, which was adopted by the undersigned with changes to the order of briefing. *See*, Joint Status Report and Proposed Discovery Schedule, filed October 7, 2022. There, the parties proposed that their opening briefs would be due on April 12, 2023, two months after the end of discovery, and that their reply briefs would be due on May 17, 2023. Because briefing schedules typically require Complainant to file their brief first, followed by Respondent's opposition, and finally Complainant's reply, the Scheduling Order was adjusted to require Complainant to file its brief on March 17, 2023, with Respondent's brief due on April 14, 2023, and Complainant's reply due on May 5, 2023. Despite the joint proposal for a reply briefing date of May 17, 2023, Respondent now states that a "longstanding family matter" will preclude counsel from being able to submit a brief anytime in May. While Respondent asserts that counsel will now be out of town until May 17, 2023, a date it jointly proposed for submission of reply briefs, it does not say when counsel is leaving, and it does not offer sufficient explanation for why it cannot file its opposition brief in April, as it had originally proposed to do.

Good cause has not been provided to amend and extend all dates in the Scheduling Order. Respondent's Motion for Reconsideration notes that it is willing to confer with Complainant to propose a shorter schedule that better addresses the inequities in the current one. Motion for Reconsideration at 9, fn. 9.

Good cause not having been stated, it is hereby

ORDERED that Respondent's Motion for Reconsideration be **GRANTED**. It is

FURTHER ORDERED that the parties submit a joint status report and proposal to amend the scheduling order within seven (7) days of the issuance of this order. The proposed amended scheduling order should allow for the initial decision to be issued by August 19, 2023.

The Complainant is reminded that it is required to prosecute its claims in good faith and that failure to do so or to abide by the Scheduling Order or any order issued in this matter, can result in dismissal of the action or dismissal of claims. 46 C.F.R. § 502.72(b).



Linda S. Harris Crovella
Administrative Law Judge